

HOUSE No. 3247

The Commonwealth of Massachusetts

PRESENTED BY:

Michael J. Soter

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to promote the development of abandoned buildings.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Michael J. Soter</i>	<i>8th Worcester</i>	<i>1/17/2025</i>
<i>Joseph D. McKenna</i>	<i>18th Worcester</i>	<i>2/6/2025</i>
<i>Marcus S. Vaughn</i>	<i>9th Norfolk</i>	<i>3/10/2025</i>

HOUSE No. 3247

By Representative Soter of Bellingham, a petition (accompanied by bill, House, No. 3247) of Michael J. Soter, Joseph D. McKenna and Marcus S. Vaughn for legislation to further regulate tax deductions for renovation of abandoned buildings. Revenue.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to promote the development of abandoned buildings.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 38O of Chapter 63 of the general laws, as appearing in the 2022
2 Official Edition, is hereby amending by striking out the section in its entirety and inserting in
3 place thereof the following:-

4 Section 38O. (a) A corporation whose excise under this chapter is based on net income
5 may, in determining such net income, deduct an amount equal to 10 per cent of the cost of
6 renovating an abandoned building, as defined by section 1 of chapter 200A, that is part of a
7 certified project designated under section 3A of chapter 23A.

8 (b) A corporation or individual which renovates an abandoned building for the purpose of
9 a housing project and sells the property upon completion shall: (i) have the profits from the sale
10 be exempt from the corporation's net income, as defined in section 30 of this chapter; or (ii) if
11 said corporation lists the property or any units within the property as rental units, the income

- 12 derived from the rent shall be exempt from the corporation's net income, as so defined, for a
- 13 period of five tax years.